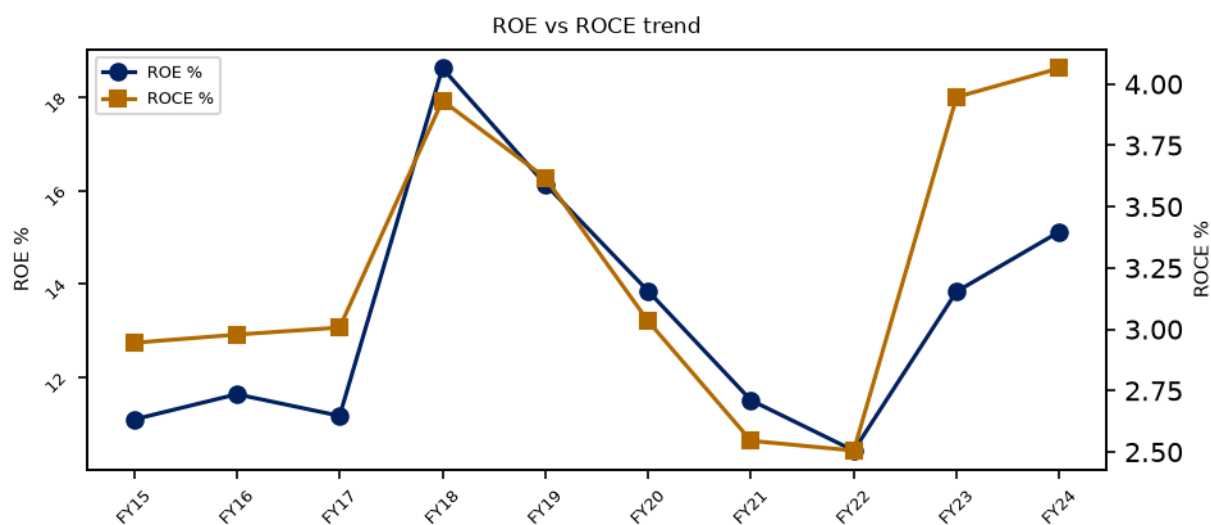
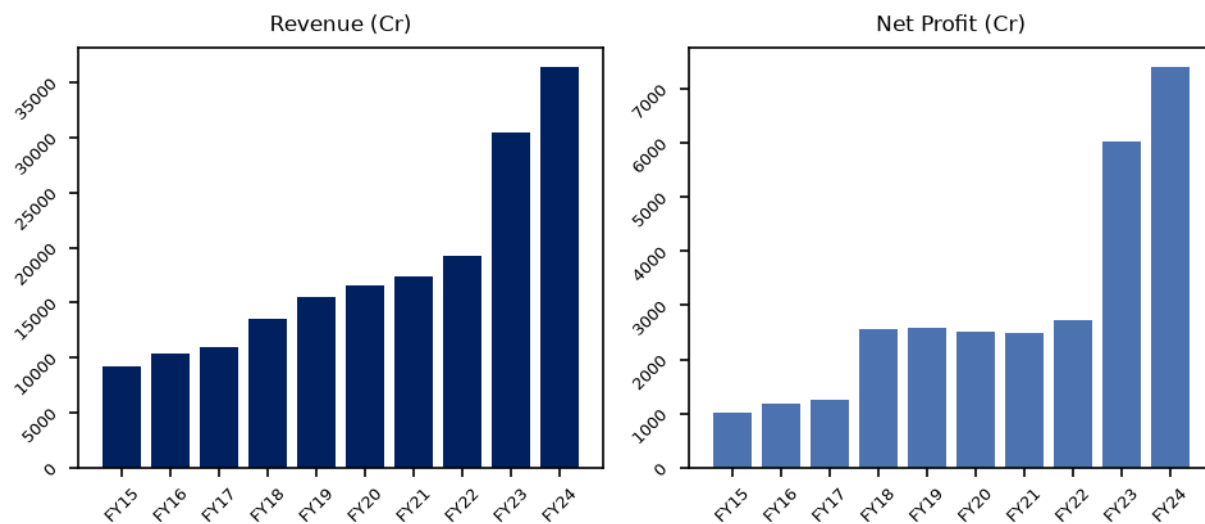
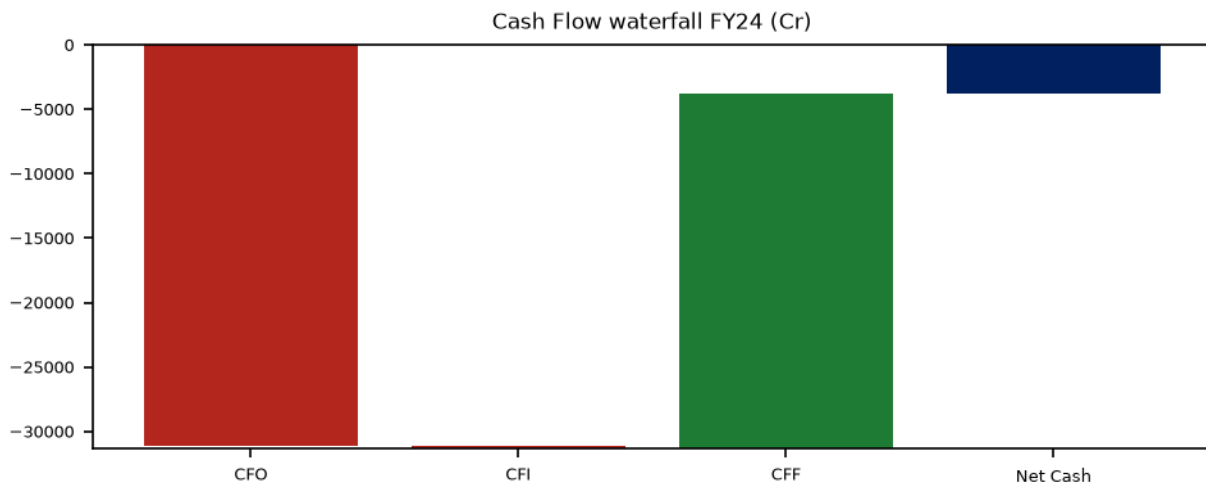
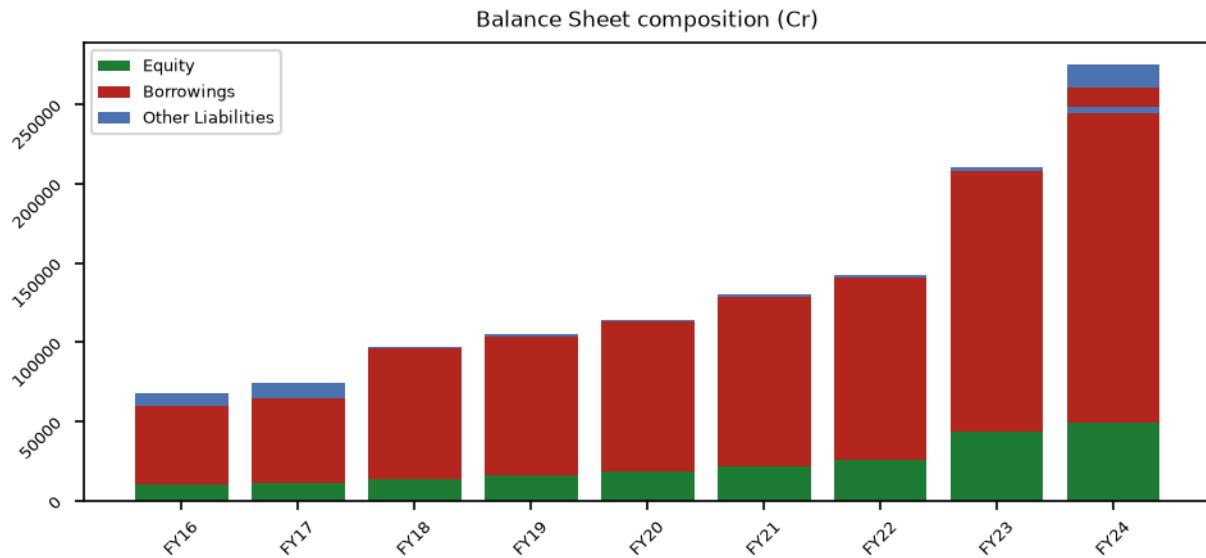


Shriram Finance Ltd (SHRIRAMFIN) — Financials / Consumer Finance

15.1 ROE %	4.1 ROCE %	20.3 Net Margin %
4.0x D/E	18.6 Rev CAGR 5Y %	68.5 P/E



SHRIRAMFIN — Balance Sheet & Cash Flow



Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Distress - Financing the Burn